

Final Exam

Two hours. Open book — you may use your figures sheet and the forms, because that is what you will have on your desk in January.

Name: _____ Date: _____ Paper
A

How this is marked

PART	COVERS	MARKS	NEEDED TO PASS
A	Filing status — six fact patterns	30	80%
B	EITC eligibility — six fact patterns	30	80%
C	One complete return	25	70%
D	Ethics and due diligence	15	70%

READ THIS BEFORE YOU START

- **You must pass every part.** A high total does not rescue a failed Part A.
- Parts A and B need 80% because that is where the penalties are, where the audits happen, and where the firm's licence is on the line.
- Where a question asks what you would *ask* the client, the question is worth marks on its own. Write the question down.
- Where a question asks for a file note, a note without a date, what you asked, what they said and what you saw does not score.
- Show your working. A right answer with no working scores half in Parts B and C.
- You may look up any figure. You may not look up an answer, and you may not use the course page.

Filing status

For each, give the filing status and name the test that decided it. Five marks each: three for the status, two for naming the deciding test.

A1 • 5 MARKS

Dominique, 31, has never married. Her brother, 23, lived with her for the whole of 2026 while studying full time at Wayne State. She paid every cost of the household and he contributed nothing.

Filing status: _____

The test that decided it:

A2 • 5 MARKS

Tonya's husband moved out on 6 March 2026 and has not been back. Their divorce was finalised on 2 January 2027. Their daughter lived with Tonya all year and Tonya paid every bill. She will file a separate return.

Filing status: _____

The test that decided it:

A3 • 5 MARKS

Bernard is unmarried and lives alone. He pays the entire rent and every bill on his mother's apartment across town, where she lives by herself. He can claim her as a dependant.

Filing status: _____

The test that decided it:

A4 · 5 MARKS

Sharon's husband works offshore. He was in the family home for two weeks over Christmas and at no other time in 2026. Their son lived with Sharon all year, she paid every cost, and she will file a separate return.

Filing status: _____

The test that decided it:

A5 · 5 MARKS

Priya is unmarried. Her boyfriend's six-year-old daughter lived in Priya's home for all of 2026 and Priya paid every cost of the household. The child is not related to Priya.

Filing status: _____

The test that decided it:

A6 · 5 MARKS

Curtis lived alone with his twelve-year-old son for the whole of 2026 and paid every bill. He married his long-term partner on 28 December 2026, and she moved in that day.

Filing status: _____

The test that decided it:

Earned Income Tax Credit

For each: is the credit available, on how many qualifying children, and which test or rule decided it? Where the answer depends on something you have not been told, say what you would ask. Five marks each.

B1 • 5 MARKS

Nadia is 27, unmarried, has no children, and earned \$14,200 in wages in 2026. She has no other income.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B2 • 5 MARKS

A client's entire 2026 income was \$21,000 of unemployment compensation. She has two children who lived with her all year.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B3 • 5 MARKS

Darius has two qualifying children and \$28,000 of wages. He also sold shares in 2026, producing \$11,900 of capital gain, and received \$550 of dividends.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B4 · 5 MARKS

Renee's daughter turned 20 in May 2026, lived at home all year and worked full time at a warehouse. She was not enrolled in education at any point. Renee earned \$23,400.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B5 · 5 MARKS

A child lived with her grandmother for eight months of 2026 and with her mother for four. The grandmother earned \$34,000; the mother earned \$9,000 and is filing a return. Both want to claim the child.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B6 · 5 MARKS

Elise reports \$14,900 of cash income from braiding hair, three qualifying children, and no expenses at all. The figure lands close to where the credit peaks. She has kept an appointment book for the whole year but no receipts.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

One complete return

You will not be marked on arithmetic to the cent. You will be marked on whether the return is the right shape, whether you found everything the client is owed, and whether your notes would stand up.

The client

Yvette Mercer, 29, unmarried, never married. Her son **Kaiden**, 5, lived with her for the whole of 2026. She paid every cost of the household.

She rented a flat at 3820 Chene St, Detroit, for the whole of 2026 at **\$775 a month**, all twelve payments made. Heat is included.

DOCUMENT	DETAILS
Form W-2 — Great Lakes Retail Group	Box 1 19,540.00 · Box 2 610.00 · Box 3 and 5 19,540.00 Box 16 19,540.00 · Box 17 800.00 Box 18 19,540.00 · Box 19 460.00 · Box 20 DETROIT
Form 1099-NEC — Halo Studio LLC	Box 1, nonemployee compensation: 3,200.00 . She rents a chair at a salon and styles hair on Saturdays.
Her own records	Receipts for supplies totalling 640.00 . A mileage log showing 900 business miles, salon to client homes. No other records.
What she said at intake	"Kaiden's been with me the whole time. His dad hasn't claimed him before as far as I know. Nobody's ever asked me about the rent."

C1 · 3 MARKS — FILING STATUS, AND THE TEST THAT DECIDED IT

C2 · 3 MARKS — WHICH RETURNS DOES SHE NEED? NAME THE DETROIT FORM AND SAY WHY

C3 · 5 MARKS — THE SCHEDULE C. SHOW HOW YOU ARRIVE AT THE NET PROFIT

C4 · 4 MARKS — WHICH CREDITS, AND ON HOW MANY CHILDREN? STATE HER EARNED INCOME

C5 · 4 MARKS — WHAT IS SHE OWED THAT SHE DID NOT ASK ABOUT, AND ROUGHLY WHAT IS IT BASED ON?

C6 · 6 MARKS — WRITE TWO FILE NOTES FOR THIS RETURN

Date, what you asked, what they said, what you saw.

Ethics and due diligence

D1 • 3 MARKS

A client offers you \$200 in cash to prepare his return quickly and to leave your PTIN off it, "so it stays simple". What is wrong with this, and what do you do?

D2 • 3 MARKS

On 3 March you realise that a return you prepared and filed in February claimed a dependant who did not in fact live with the client for more than half the year. What do you do, and in what order?

D3 • 3 MARKS

A returning client's income is identical to last year's, to the dollar, including the cash side income. She says nothing changed. What is your duty here, and what would you write down?

D4 • 3 MARKS

Name the four items Form 8867 covers, and explain in one sentence why that matters in dollars.

D5 • 3 MARKS

List the five things you do not handle alone in your first season.

BEFORE YOU HAND IT IN

- ☐ Every question in Part A has a status *and* a test named
- ☐ Every question in Part B says which test or rule decided it
- ☐ Part C has two file notes, each with a date
- ☐ Your name is on the front

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.